APPLICATIONS: BANKING

With millions of transactions happening every second, how exactly is the banking sector dealing with all that data?

Overview

Banking is one of the many sectors in the economy that has to deal with massive volumes of data every day. Till now, the sector has been traditionally dominated by paperwork and bespoke non-standardised systems, which involve gigantic amounts of manual labour. However, the sheer quantity of data flowing into the banking sector makes it a perfect applicant for employing big data techniques to glean useful insights, which would help increase efficiency for many banks and generate additional streams of revenue.

Big Data benefits

Many key areas can benefit from data science. To cite a more general and clear example, the 2008 financial meltdown, which affected economies around the globe and led to huge debts and bankruptcies, could have been avoided by the use of big data systems to monitor data related to mortgage backed securities (MBSs) and their underlying assets. Such a system would have been able to detect anomalies in the provided data and help prevent the onslaught that followed, which still haunts the world economy today.